CIRCULAR 14
PROVIDING GUIDELINES ON
ISSUING CONSTRUCTION ACTIVITIES LICENCES AND MANAGING FOREIGN CONTRACTORS CARRYING OUT CONSTRUCTION ACTIVITIES IN VIETNAM

Dated 30 June 2016

CONTENTS

Article 1 *Scope of application and applicable entities* 1
Article 2 *Principles for management of activities of foreign contractors* 1
Article 3 *Conditions for issuance of construction activities licence* 2
Article 4 *Application file for issuance of construction activities licence to an organization (foreign contractor)* 2
Article 5 *Application file for issuance of construction activities licence to an individual (foreign contractor)* 3
Article 6 *Sequence for issuing construction activities licences* 3
Article 7 *Amending construction activities licences* 4
Article 8 *Provision on reporting* 4
Article 9 *Provision and method of notification on operating offices* 4
Article 10 *Circumstances in which a construction activities licence will be revoked* 5
Article 11 *Rights and obligations of foreign contractors* 5
Article 12 *Responsibilities of investors or project owners to foreign contractors* 5
Article 13 *State administration of construction activities licences* 6
Article 14 *Effectiveness* 6

MINISTRY OF CONSTRUCTION

SOCIALIST REPUBLIC OF VIET NAM
Independence - Freedom - Happiness

No. 14-2016-TT-BXD

Ha Noi, 30 June 2016

CIRCULAR
PROVIDING GUIDELINES ON ISSUING CONSTRUCTION ACTIVITIES LICENCES AND MANAGING FOREIGN CONTRACTORS CARRYING OUT CONSTRUCTION ACTIVITIES IN VIETNAM

Pursuant to the *Law on Construction* 50-2014-QH13 dated 18 June 2014;

Pursuant to Decree 62-2013-ND-CP of the Government dated 25 June 2013 stipulating the functions, duties, powers and organizational structure of the Ministry of Construction;

Pursuant to Decree 59-2015-ND-CP of the Government dated 18 June 2015 on management of investment projects for construction;

Having considered the proposal of the Director of the Construction Activities Management Department;

The Minister of Construction issues this Circular to provide guidelines on issuing construction activities licences and managing foreign contractors carrying out construction activities in Vietnam:

Article 1 *Scope of application and applicable entities*

1. Scope of application: This Circular provides guidelines on issuing construction activities licences and managing foreign contractors carrying out construction activities in Vietnam.

2. Applicable entities: This Circular applies to foreign contractors carrying out construction activities in Vietnam, comprising: preparation of construction planning, preparation of investment projects for construction, construction surveys, construction designs, execution of construction, supervision of construction, management of investment projects for construction, selection of contractors in construction activities, test and acceptance of works for commissioning; warranty and maintenance of construction works; supply of materials, equipment and technology accompanying technical services relating to construction works, and other activities relating to construction of works.

   Other contents relating to activities of foreign contractors are implemented in accordance with the 2014 *Law on Construction*, Decree 59-2015-ND-CP of the Government dated 18 June 2015 on management of investment projects for construction (hereinafter referred to as *Decree 59*) and other relevant laws.

3. Where an international treaty to which Vietnam is a member contains provisions which are different from the provisions in this Circular, such international treaty shall apply.

Article 2 *Principles for management of activities of foreign contractors*

1. A foreign contractor may carry out construction activities in Vietnam only after it has been issued with a construction activities licence by the competent State authority of Vietnam.

Allens › ‹ Linklaters

2. Activities of foreign contractors in Vietnam must comply with provisions of Vietnamese law and international treaties which Vietnam has signed or to which Vietnam has acceded.

Article 3 *Conditions for issuance of construction activities licence*

In accordance with article 71 of Decree 59.

Article 4 *Application file for issuance of construction activities licence to an organization (foreign contractor)*

A foreign contractor shall directly lodge or send by post one set of an application file to the agency issuing construction activities licences, comprising:

1. Request for a construction activities licence, prescribed on the form in Appendix 1 of this Circular.

2. Copy of or computer file containing a colour scan of the original document in image format or other format (*.pdf) of the document on tendering results, or decision selecting the contractor, or contract legally appointing the contractor.

3. Copy of or computer file containing a colour scan of the original document in image format or other format (*.pdf) of the establishment licence (or business registration certificate of the organization) and practising certificate (if any) issued by the country of nationality of the contractor or by the country where the contractor is implementing the project.

4. Computer file containing a colour scan of the original document in image format or other format (*.pdf) of the report on experience of the contractor in construction activities relevant to the work to be awarded on the form in Appendix 2 of this Circular and an overall report on the audited results for the last three years (if the contractor is awarded a tender package for which the law of Vietnam on tendering does not stipulate mandatory tendering).

5. Copy of or computer file containing a colour scan of the original document in image format or other format (*.pdf) of the partnership contract or agreement with a Vietnamese contractor or contract with a Vietnamese sub-contractor (included in the tender file or quotation file), which specifies the portion of work to be carried out by the Vietnamese contractor.[1]

   If the sub-contractor was not yet identified when the tender was submitted or when the contractor was selected, upon requesting issuance of a construction activities licence, there must be a contract with a Vietnamese sub-contractor with accompanying written consent from the investor and copy of the business registration of the Vietnamese sub-contractor.

6. Legal power of attorney on the form in Appendix 3 in the case of a person [applicant] who is not the legal representative of the contractor.

7. Computer file containing a colour scan of the original document in image format or other format (*.pdf) of the decision on investment in the project, or the investment certificate, or the written in-principal approval of the investment policy.

---

[1] Allens footnote: Article 4.3 of the *Regulations* issued with Decision 87 provides that in both cases of winning a contract via tendering or selection of contractor, a foreign contractor must have a partnership with a Vietnamese contractor or must employ a Vietnamese sub-contractor except in cases where the Prime Minister provides permission or where otherwise stipulated by the law of Vietnam.

A request for a construction activities licence shall be made in Vietnamese. Establishment licences or business registration certificates of foreigners must be consularized (unless consularization is exempt pursuant to an international treaty of which Vietnam and the relevant country are members.) Documents and data in a foreign language must be translated into Vietnamese and translations must be notarized [or] certified in accordance with the law of Vietnam.

Any [further] application file for issuance of a construction activities licence which is prepared within the same year [as the first application file] need not contain the data stipulated in clauses 3 and 4 above.

Article 5 *Application file for issuance of construction activities licence to an individual (foreign contractor)*

A foreign contractor being an individual shall personally lodge or send by post one set of an application file to the body issuing construction activities licences, comprising:

1. Request for a construction activities licence as stipulated on the form in Appendix 4 of this Circular.

2. Copy of or computer file containing a colour scan of the original document in image format or other format (*.pdf) of the report on tendering results, or decision selecting the contractor, or contract legally appointing the contractor.

3. Copy of or computer file containing a colour scan of the original document in image format or other format (*.pdf) of the operating licence or practising certificate issued by the country of nationality of the individual or by the country where the individual carries out the project, and copy passport of the individual.

4. Computer file containing a colour scan of the original document in image format or other format (*.pdf) of the decision on investment in the project, or the investment certificate, or the written in-principal approval of the investment policy.

A request for a construction activities licence shall be in Vietnamese. Copy operating licences or consultancy practising certificates issued by foreign countries must be consularized (unless consularization is exempt pursuant to an international treaty of which Vietnam and the relevant country are members.) Documents and data in a foreign language must be translated into Vietnamese and translations must be notarized [or] certified in accordance with the law of Vietnam.

Any [further] application file for issuance of a construction activities licence which is prepared within the same year [as the first application file] need not contain the data stipulated in clause 3 above.

Article 6 *Sequence for issuing construction activities licences*

1. The licence-issuing agency is responsible, within five (5) business days from receipt of an application file, to consider the file, and if the file is incorrect or incomplete in terms of regulations, to provide a written notice and guidelines on one occasion to the contractor to supplement or complete the file correctly.

2. The licence-issuing agency shall, within twenty (20) business days from receipt of a valid application file, issue a construction activities licence to the contractor. In a case where the application file does not meet all the prescribed conditions for issuance of a construction activities licence, such agency must provide written notice to the contractor.

3. A construction activities licence issued to an organization shall be stipulated on the form in Appendix 5, and a construction activities licence issued to an individual shall be on the form in Appendix 6 of this Circular.

4. Contractors are responsible to pay fees on receipt of construction activities licences or amended construction activities licences in accordance regulations of the Ministry of Finance.

Article 7 *Amending construction activities licences*

1. If after issuance of a construction activities licence there is any change of name and address of the contractor, change of a partner or sub-contractor or any other changes to items recorded in the issued construction activities licence, then the foreign contractor must personally lodge or send by post one set of an application file for amendment of such licence to the licence-issuing agency for consideration of amendment of the issued licence.

   An amended construction activities licence is as stipulated on the form in Appendix 7 of this Circular.

2. An application file to amend a construction activities licence shall comprise:

   (a) Request for an amended construction activities licence as stipulated on the form in Appendix 8 of this Circular;

   (b) Data proving the amended items, which data must be translated into Vietnamese and certified in accordance with the law of Vietnam.

3. The time-limit